

Setup Countdown Recycle TDST	
☒ Reverse Setup Cancel	Recycle Count 18
☒ Recycle Confirm	Recycle Setup Rule Recycle All
☒ Enable Setup Within Setups	Recycle Multiplier 1.000 - 1.618
Setup Within Setups Option 1	Use Maximum Setup
Setup Within Setups Option 2	Extreme Setup Closes Within True Range

Setup Countdown Recycle TDST	
☒ TDST On	
☐ Extend the 2nd Most Recent TDST Level	
☐ Open Restriction	

TD Aggressive Sequential

There will inevitably be times when TD Sequential is silent. For those who want to trade more frequently, TD Aggressive Sequential can be a useful adjunct to its more conservative partner. It is very similar to TD Sequential, in the sense that the conditions required to complete the TD Setup phase are the same; it's just the TD Countdown phase that differs.

■ TD Aggressive Sequential

For a prospective sell following a completed TD Sell Setup:

TD Aggressive Sequential compares the high with the high two price bars earlier, during the TD Sell Countdown process.

For a prospective buy following a completed TD Buy Setup:

TD Aggressive Sequential compares the low with the low two price bars earlier during the TD Buy Countdown phase.

By definition, TD Aggressive Sequential always produces buy and sell signals before TD Sequential does. I have found that often TD Aggressive Sequential identifies the trend extreme, while TD Sequential captures the retest of that price extreme. It is generally safer to act when both indicators produce signals at the same time. That said, TD Aggressive Sequential is useful when markets reach price projections, and the relative positioning of the TD studies suggests a reversal is likely, even though TD Sequential is silent.

CHAPTER 2

TD Combo

LIKE ITS COUNTERPART, TD Sequential, TD Combo tries to anticipate price exhaustion within a trend. Because, by definition, it takes a minimum of twenty-two price bars to generate a TD Sequential signal, it is useful to have another tool to identify prospective turning points following an abrupt price movement. Although the criteria necessary to generate a TD Combo buy or sell signal are more stringent than those to complete a TD Sequential Buy or Sell Countdown, TD Combo is better equipped to respond to sharp directional moves, since it requires a minimum of only thirteen price bars from start to finish.

Ideally, a confluence of TD Sequential and TD Combo signals will improve the chance of a successful trade. As with TD Aggressive Sequential, however, there are times when TD Combospeaks and TD Sequential is silent. In such instances, I prefer to have reinforcing evidence of potential price exhaustion from other TD indicators/time frames rather than to rely on the signal in isolation. DeMark suggests that, for intraday charts, TD Combo has a slight edge over TD Sequential.

Note: There are two versions of TD Combo, one more conservative than the other.

TD Combo Buy Setup

The criteria for a TD Buy Setup within TD Combo are identical to those required for a TD Buy Setup within TD Sequential, and for Recycle:

■ Requirements for a TD Combo Buy Setup

First, we need to see a Bearish TD Price Flip, that is, a close above the close four price bars earlier immediately followed by a close beneath the close four price bars earlier.

Then, to complete a TD Buy Setup, starting from and inclusive of the Bearish TD Price Flip bar, we need an uninterrupted series of nine closes, each one lower than the close four price bars earlier.

Differences in Buy Countdown: TD Combo vs. TD Sequential

Once the TD Combo Buy Setup is complete, the differences between TD Combo and TD Sequential become apparent:

- **TD Sequential** waits for the completion of a TD Buy Setup and then begins looking for the conditions necessary to satisfy the requirements for a TD Buy Countdown, but
- **TD Combo** waits for a TD Buy Setup to finish, and then begins the TD Buy Countdown, from bar one of the preceding TD Buy Setup onward.

TD Combo Buy Countdown

Commencing from bar one of the prior qualifying TD Buy Setup, the TD Buy Countdown phase of TD Combo begins retrospectively (**Figure 2.1**). Unlike TD Sequential, however, which simply states that each close must be less than the corresponding low two price bars earlier, a TD Combo Buy requires four conditions to be satisfied simultaneously. There are two versions, one less strict than the other.

■ Requirements for a TD Combo Buy Countdown Version I (Strict Version)

1. The close must be less than, or equal to, the low two price bars earlier;
2. Each TD Combo Buy Countdown low must be less than, or equal to, the low of the prior price bar;
3. Each TD Combo Buy Countdown close must be less than the previous TD Combo Buy Countdown close; and
4. Each TD Combo Buy Countdown close must be less than the close of the prior price bar.

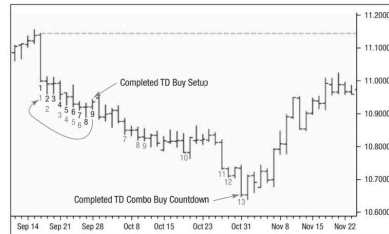


FIGURE 2.1 Complete TD Combo Buy Countdown Version I

In the chart of USDMXN, subsequent to the completion of TD Buy Setup, we go back to bar one and begin looking for the TD Combo Buy Countdown conditions from there onward.

■ Requirements for a TD Combo Buy Countdown Version II (Less-Strict Version)

The first four requirements are the same as for Version I:

1. The close must be less than, or equal to, the low two price bars earlier, up to and including bar ten of the TD Buy Countdown phase;
2. Each TD Combo Buy Countdown low must be less than, or equal to, the low of the prior price bar;
3. Each TD Combo Buy Countdown close must be less than the previous TD Combo Buy Countdown close; and
4. Each TD Combo Buy Countdown close must be less than the close of the prior price bar.

However, for TD Combo Buy Countdown bars eleven, twelve, and thirteen only,

5. The closes need only be successively lower, and it is not necessary to apply the more-stringent conditions listed earlier.

■ To Enter a Long Position

1. Wait for a successfully completed TD Combo Buy Countdown, and
2. Establish a long position on the close of bar thirteen.

■ Risk Management: For Entering a TD Combo Buy Countdown Long Position

1. Look for the bar that has the lowest true low within the TD Combo Buy Countdown process (every bar from one to thirteen inclusive, regardless of whether it is a numbered bar), and
2. Subtract the true range of that bar from its true low (**Figure 2.2**).

As they might with a TD Sequential Buy signal, more conservative traders, before entering a trade, can wait for the first price bar that has a close greater than the close four bars earlier, that is, a bullish TD Price Flip. This eliminates the risk of Recycling. Similar to the response to TD Sequential, a meaningful response can be expected within twelve price bars following the TD Combo Buy signal—ideally a bullish TD Price Flip and/or a move beyond the TD Reference Close (that is, a break of the highest high four bars prior to the low).

Rather than initiating a long position on the close of TD Combo Buy Countdown bar thirteen (my own personal preference), more conservative traders may prefer waiting for confirmation of a reversal from one of the following configurations: TD Camouflage, TD Clap, TD Clowin, TD Open, or TD Trap.

The requirements for a TD Sell Setup within TD Combo are the same as those for a TD Sell Setup within TD Sequential.

■ Requirements for a TD Combo Sell Setup Version I

1. A Bullish TD Price Flip (that is, a close beneath the close four price bars earlier, immediately followed by a close above the close four price bars earlier), and
2. An uninterrupted series of nine closes, each one above the close four price bars earlier (starting from and inclusive of the Bullish TD Price Flip bar).

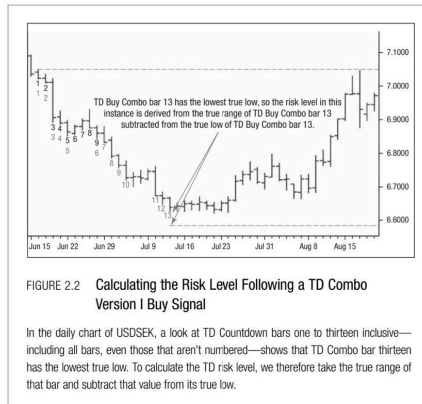


FIGURE 2.2 Calculating the Risk Level Following a TD Combo Version I Buy Signal

In the daily chart of USDSEK, a look at TD Countdown bars one to thirteen inclusive—including all bars, even those that aren't numbered—shows that TD Combo bar thirteen has the lowest true low. To calculate the TD risk level, we therefore take the true range of that bar and subtract that value from its true low.

■ Differences in Sell Countdown: TD Combo vs. TD Sequential

TD Combo Sell Countdown

Once the TD Combo Sell Setup is complete, the differences between TD Combo and TD Sequential manifest themselves:

TD Sequential waits for the termination of a TD Sell Setup and then begins looking for the conditions necessary to satisfy the requirements for a TD Sell Countdown, *But*

TD Combo waits for a TD Sell Setup to complete, and then begins the TD Sell Countdown (from bar one of the preceding TD Sell Setup onward).

Commencing from bar one of the prior qualifying TD Sell Setup, the TD Sell Countdown phase of TD Combo begins retrospectively (**Figure 2.3**). Unlike TD Sequential, however, which simply requires

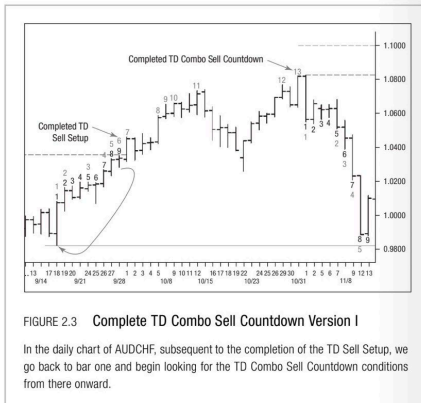


FIGURE 2.3 Complete TD Combo Sell Countdown Version I

In the daily chart of AUDCHF, subsequent to the completion of the TD Sell Setup, we go back to bar one and begin looking for the TD Combo Sell Countdown conditions from there onward.

that each close be greater than the corresponding high two price bars earlier, a TD Combo Sell requires that four conditions be satisfied simultaneously.

■ Requirements for a TD Combo Sell Countdown Version I (More Strict)

The following conditions must be satisfied simultaneously:

1. The close must be greater than, or equal to, the high two price bars earlier;
2. Each TD Combo Sell Countdown high must be greater than, or equal to, the high of the previous price bar;
3. Each TD Combo Sell Countdown close must be greater than the close of the previous TD Combo Sell Countdown close; and
4. Each TD Combo Sell Countdown close must be greater than the close of the previous price bar.

TD Combo Sell Countdown Version II is very similar to Version I, but less strict.

■ Requirements for a TD Combo Sell Countdown Version II (Less Strict)

For Version II, as indicated below, the first four requirements are the same as for Version I, for TD Combo Sell Countdown bars one to ten inclusive:

1. The close must be greater than, or equal to, the high two price bars earlier;
2. Each TD Combo Sell Countdown high must be greater than, or equal to, the high of the previous price bar;
3. Each TD Combo Sell Countdown close must be greater than the close of the previous TD Combo Sell Countdown; and
4. Each TD Combo Sell Countdown close must be greater than the close of the previous price bar.

However, TD Combo Sell Countdown bars eleven, twelve, and thirteen only need to be successively higher, and it's not necessary to apply the more-stringent conditions listed above.

■ Risk Management: Calculating the Risk Level of a Short Position Following a TD Combo Sell Countdown

Following a successfully completed TD Combo Sell Countdown, the risk level for a short position may be calculated, and the trade established, on the close of bar thirteen:

1. Identify the bar that has the highest true high within the TD Combo Sell Countdown process (every bar from one to thirteen inclusive, as well as those that aren't numbered), and
2. Add the true range of that bar to its true high (Figure 2.4).

As they might with a TD Sequential Sell signal, more conservative traders can wait for the first price bar that has a close less than the close four bars earlier, that is, a bearish TD Price Flip, before entering a trade. This eliminates the risk of Recycling.

As you might with TD Sequential, you should expect a meaningful response within twelve price bars following the TD Combo Sell signal, ideally a bearish TD Price Flip and/or a move beyond the TD Reference Close, that is, a break of the lowest low four bars previous to the high.

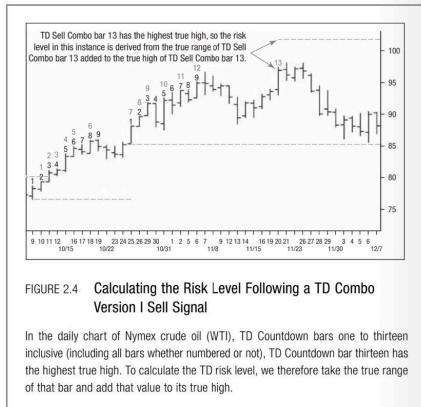


FIGURE 2.4 Calculating the Risk Level Following a TD Combo Version I Sell Signal

In the daily chart of Nymex crude oil (WTI), TD Countdown bars one to thirteen inclusive (including all bars whether numbered or not), TD Countdown bar thirteen has the highest true high. To calculate the TD risk level, we therefore take the true range of that bar and add that value to its true high.

Rather than initiating a short position on the close of TD Combo Sell Countdown bar thirteen, more-conservative traders may also want to wait for confirmation of a reversal after confirmation from TD Camouflage, TD Clop, TD Clopwin, TD Open, or TD Trap.

TD Combo Version I: Recommended Settings

Setup	Countdown	Recycle	TDST
Minimum Number of Bars for Setup	9	☒ Show Setup	
Number of Bars to Look Back	4	☐ Setup Shading	
Setup Price	Close	☐ Setup Perfection Arrows	
Show Setup Bars to	Minimum Number of Bars		
Setup Cancel Rule	TrueLow vs TrueHigh	☐ Include Prior Four Bars	
☒ Reverse Setup Cancel			

Setup	Countdown	Recycle	TDST
☐ Show Countdown			
Number of Bars for Countdown	13	☐ Countdown Completion Arrows	
Number of Bars to Look Back	2	☐ Show Countdown Bars After Minimum	
Termination Count	Close	Use 'Equal' for Comparison	All Bars
Countdown Price	Close		
Show Risk Level	Use All Bars in Countdown		
Buy Countdown Conditions			
Countdown Price	<=	Countdown Price 1 Bar Ago	
Low	<=	Low 1 Bar Ago	
Sell Countdown Conditions			
Countdown Price	>=	Countdown Price 1 Bar Ago	
High	>=	High 1 Bar Ago	

Setup	Countdown	Recycle	TDST
☒ Reverse Setup Cancel		Recycle Count	18
☒ Recycle Confirm		Recycle Setup Rule	Recycle All
☒ Enable Setup Within Setups		Recycle Multiplier	1.000 - 1.618
Setup Within Setups Option 1		Use Maximum Setup	
Setup Within Setups Option 2		Extreme Setup Closes Within True Range	

Setup	Countdown	Recycle	TDST
☒ TDST On			
☐ Extend the 2nd Most Recent TDST Level			
☐ Open Restriction			